

Q1 2025

Industrial Market Overview

Czech Republic

Colliers



Czech industrial market in Q1 2025 could have been characterised by one word - expectation. While the USA-China trade war and uncertainty surrounding the transatlantic tariff policy did not immediately affect the Czech economy, the skies are slowly darkening over the German economy and with the indication of zero growth this year, we can expect headwinds and uncertainty in the Czech market – as part of a landslide of changes to the IMF economic forecasts, the GDP growth forecast for Czechia was lowered from 3.3% to 2.8%.

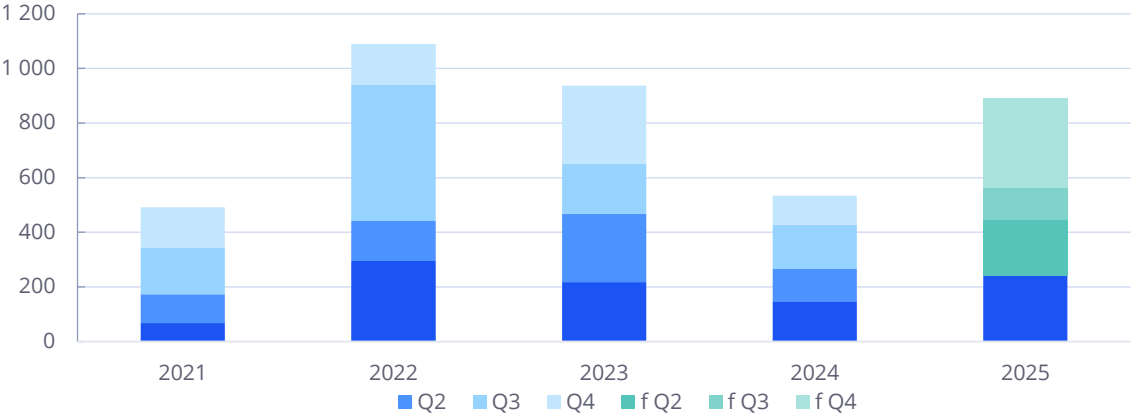
However, uncertainty means opportunity – higher risk in large economies creates beneficial view of smaller economies as alternative investment scenes, which is why a slowdown in large Czech export partners may not mean a catastrophe. Paradoxically, especially in an uncertain trade environment, the pressure on nearshoring of wider range of production may mean significant investment in local industrial and development infrastructure – there is already evidence of such activities with significant investment by an American investment company Blackstone into industrial

portfolio of a local development company Contera and the acquisition of Sázava Logistics Park by British development company Segro in the second quarter.

Market has grown by 4.7 % to 12.4 million sqm, shell & core is now a structural phenomenon

The volume of newly completed industrial space continued in the spirit of last year's low construction volume. New supply amounted to 155,900 sqm, 5.3% more than the first quarter 2024, but also 17.6% lower than five-year average. The total stock reached 12.4 million sqm, representing 4.7% growth year-on-year. Another 1.1 million sqm is under active construction and 551,000 sqm is in shell & core status – space waiting for completion, potentially available in 3-6 months. The notable increase in shell & core is now a structural phenomenon, which is no longer just a strategy of a few large players – year-on-year, we registered a 51% increase in such spaces.

Annual New Supply (sq m thousands)



Source: Colliers, Industrial Research Forum

Quick Market Overview

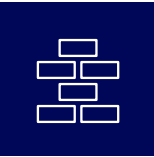
- Gross take up grew by 152% Y/Y
- Vacancy rate stayed stable around 3.1%
- Total volume of shell & core space grew higher than vacancy rate for the first time
- Prime rent is stable around €7,00 – 7,50. However incentives decrease price range



Stock (millions sqm)
12,4
Y/Y: +4.7%



Neobsazenost
3.1%
Y/Y: +1.2 p.p.



New Supply (sqm)
155,900
FY 2024: 517,900



Prime Rent (IRF)
€ 7.00 – 7.50
Regions: €5.50 – 6.30



Gross Take-Up (sqm)
511,600
FY 2024: 1,445,500



Under Construction (sqm)
1,617,800
Y/Y: +28.8%

Last year, many building projects were postponed, awaiting better economic circumstances. This led to a significant increase in the volume of space actively under construction planned for completion in 2025, currently at 646,700 sqm.

Another noticeable trend is the large number of permitted projects not yet under construction, awaiting demand. Such space now amounts to 2.6 million sqm and with another 2.8 million sqm of potential projects in various other permitting stages, the total amount of potential space is now at 5.4 million sqm, 16.5% higher than last year. However, it needs to be said that this value is also 9% lower quarter-on-quarter, which is also noticeable in the amount of speculative construction, which again, after a small decline last year, reached almost 50% of the total volume under construction.

Vacancy rate seemingly stabilized around 3.1%, due to the shell & core factor rising to 6.8%

The vacancy rate has seemingly stabilized at 3.1%, where it has been for the third consecutive quarter. Year-on-year, the vacancy rate increased by 1.2 percentage points.

This view is, however, skewed by the omission of the shell & core buildings, which, if calculated in stock, bring the total vacancy rate closer to 6.8% by adding another 3.7 percentage points. This more realistic view exceeds the vacancy rates in some of the neighbouring countries. Further vacancy can be recorded in logistics & transportation companies, which sublease their unused spaces to clients, adding further “shadow” vacancy. The real vacancy rate in the Czech industrial market is thus much closer to the trend of neighbouring countries where the headline vacancy rates are around 4 to 8%.

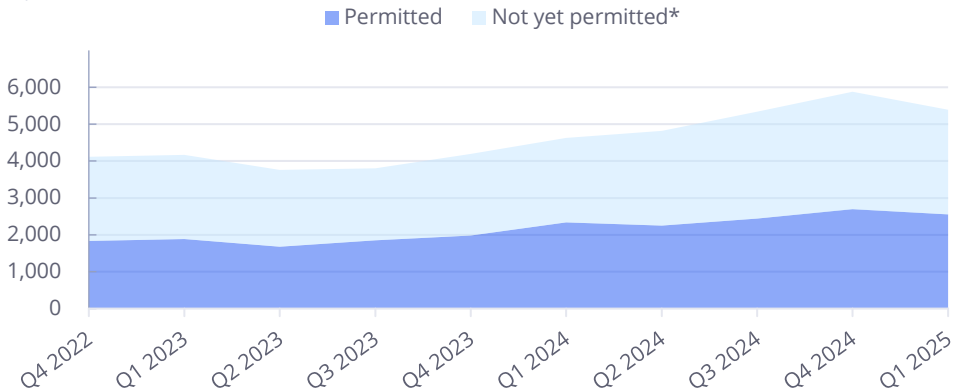
The first quarter demand exceeded five-year average, but questions about future development remain

Gross take-up in the first quarter of 2025 exceeded five-year average and was dominated by renegotiations; volume reached 511,600 sqm. It is important to note that this amount was reached thanks to one major renegotiation, which accounted for almost 29% of the gross take-up. Net take-up on the other hand slumped significantly under five-year average, reaching values last seen in the first quarter of last year. Net take-up accounted for 38% of the gross take-up, with the majority of the new contracts being pre-leases.



Volume of Planned Construction

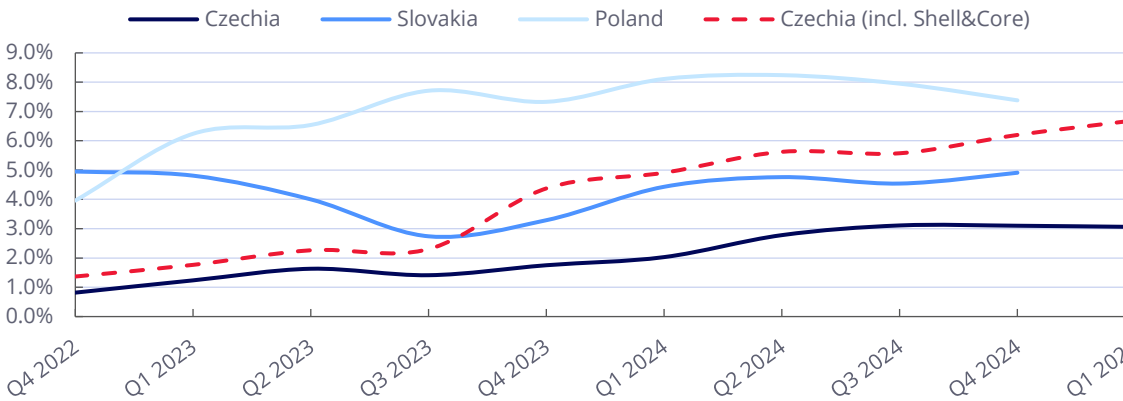
(sqm thousands)



* Category “Not yet permitted” includes all stages of the permitting process that passed from the EIA stage

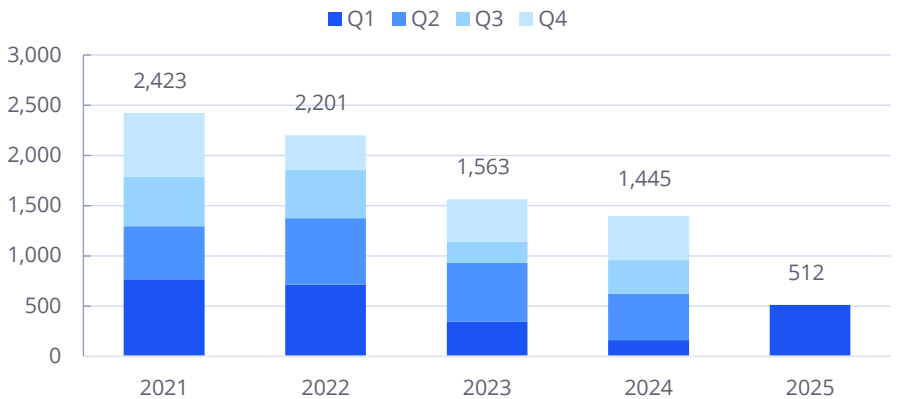
Vacancy Rates in Czechia, Slovakia, Poland

(Last ten quarters)



Gross Take-up

(sqm thousands)



Source: Colliers, Industrial Research Forum

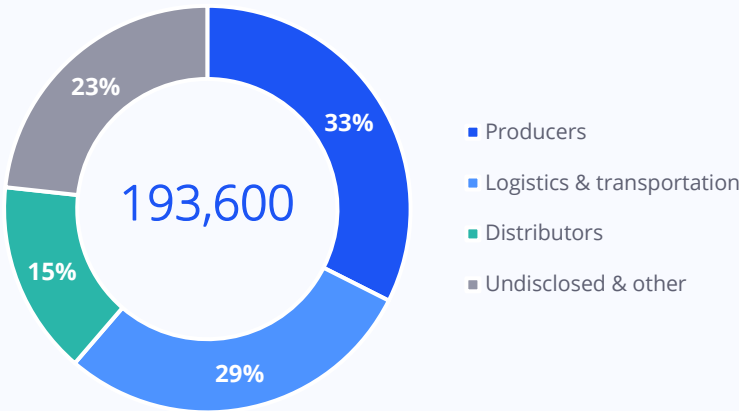
Tenant mix in the first quarter was primarily comprised of logistics & transportation companies (62%), followed by producers (23%) and distributors & others (15%).

The three largest transactions amounted to 219,500 sqm. The largest transaction was a renegotiation of 147,000 sqm across multiple buildings in Prologis Park Prague-Jirny by a confidential logistics client, followed by a pre-lease of 40,000 sqm in Industrial Park Nymburk by Linde Wiemann. The third largest transaction was a renegotiation of 31,900 sqm in two buildings in Panattoni Park Cheb by DHL Supply Chain.

Prime rent stabilized around €7.00 to 7.50

According to the Industrial Research Forum, prime rent in the Czech industrial market stayed stable at €7.00 – €7.50/month/sqm. The prime rent has remained at the same levels for three quarters now, though we increasingly see bolstered tenant negotiating power visible in benevolent incentives offered by landlords across the regions. Rents for mezzanine office space stand between €9.50 - €12.50 sqm/month. Service charges are typically around €0.75–€1.00 sqm/month.

Net take-up by sector (sqm)



Source: Colliers, Industrial Research Forum

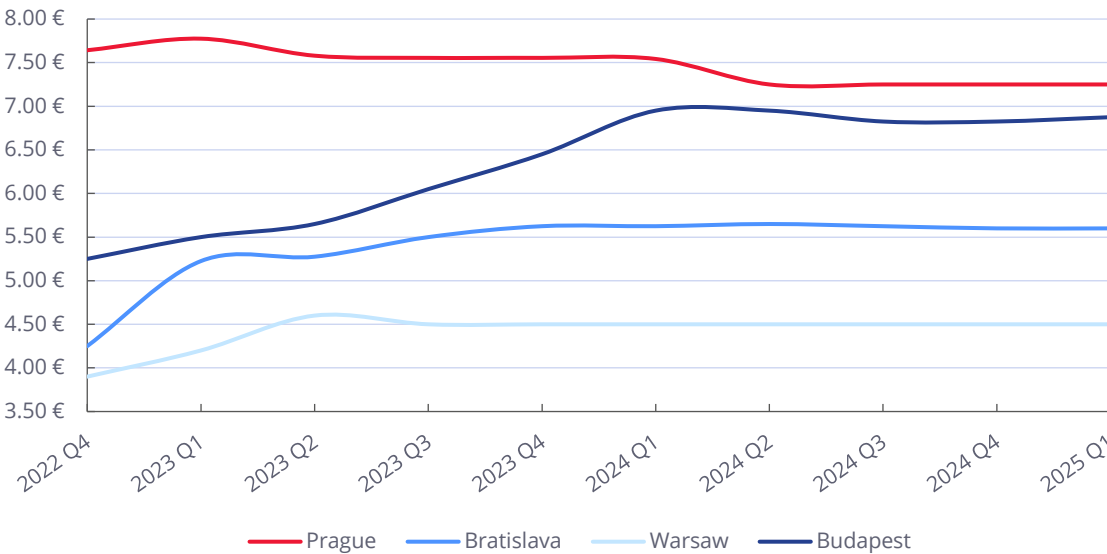
The market continues stable growth, despite unfavourable forecasts

Despite the weak market development of last year and a wave of bad geopolitical news, the darkest ideas about the market development have not materialized and the competition from neighbouring markets still has not deterred established companies from renegotiating their current space and further expansions. Demand for new space still pushes the market to expansion, thus the massive amount of permitted space is not acting as a predictor of a catastrophe, giving clients a choice of diverse locations. The same trend applies to the shell & core space, which gives developers the ability to promptly react to potential demand, leading to a significant market advantage.

Increasingly we also see specialised smaller projects, targeting SME technology and production companies. These trends combined with the mentioned increasing portfolio investments could lead to a much livelier national market, increasing competition among the market players and potentially decreasing the currently steep prices, later possibly leading to an improved regional market competitiveness.

Development of Prime Rent in Capitals of Czechia, Poland, Slovakia and Hungary

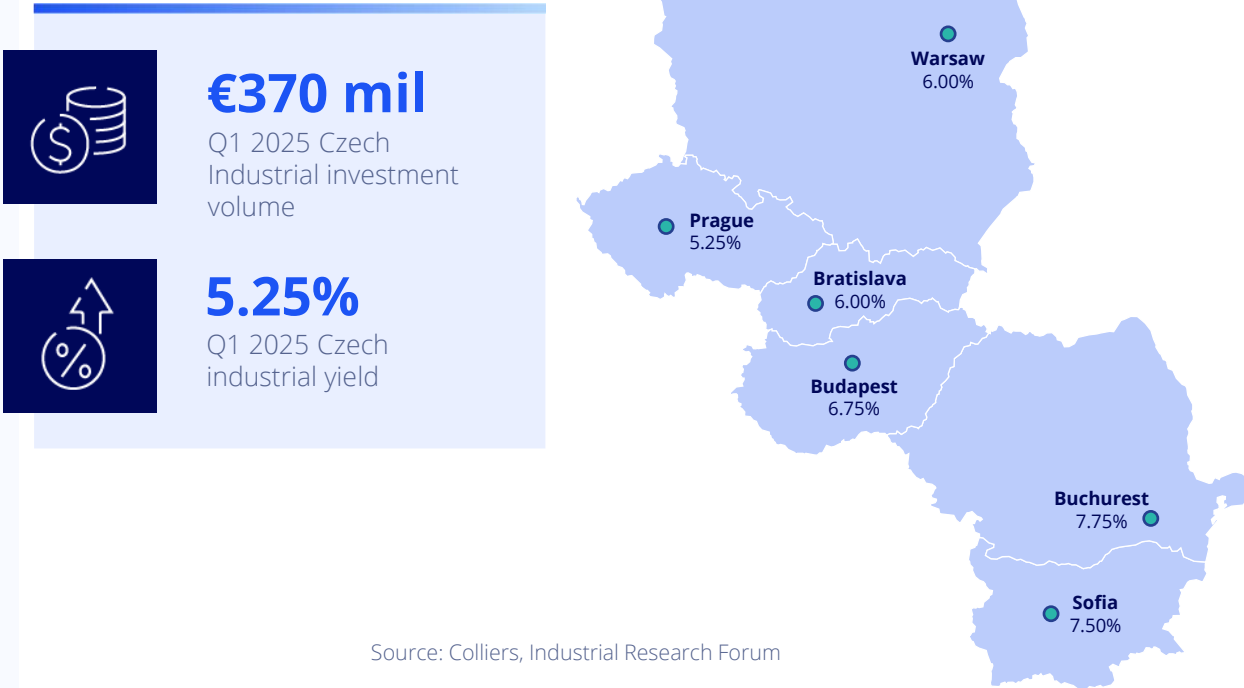
(€/sqm/month)



Source: Colliers, Industrial Research Forum

Prime Yields in Industrial spaces cross-border regions

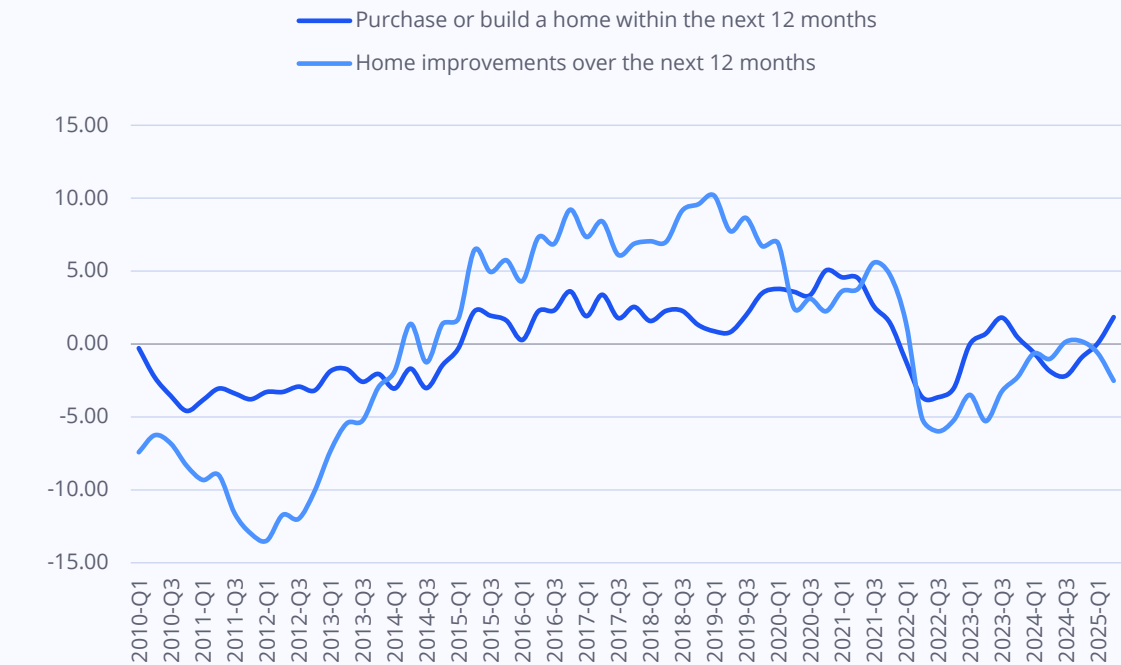
(%)



Source: Colliers, Industrial Research Forum

Consumers are increasing demand for housing, smaller investments are being delayed

(deviation from historical average)



Source: Eurostat

Economic Forecast – Key Indicators

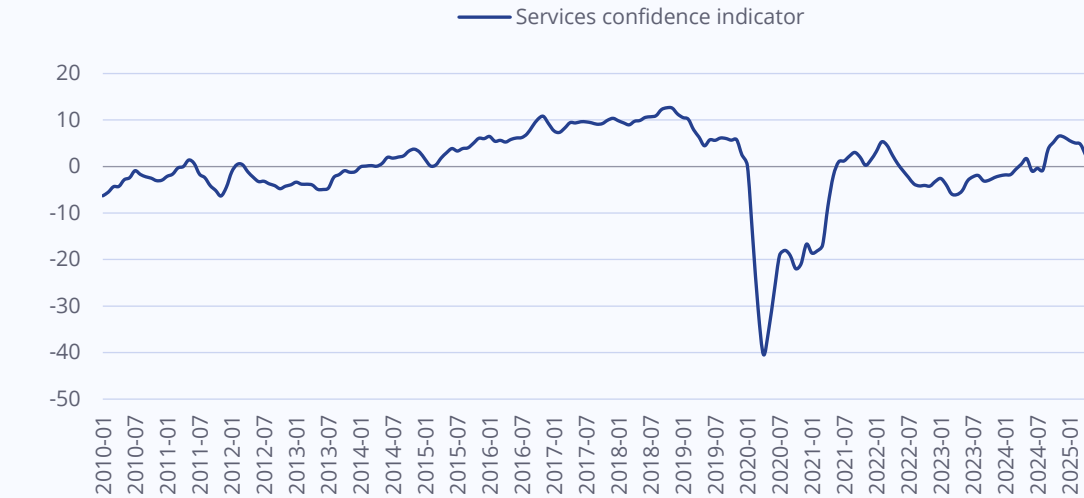
Indicator	2024	2025	2026f
GDP growth (% , Y/Y)	1.0	2.4	2.7
Inflation (% , Y/Y)	2.7	2.4	2.0
Unemployment (%)	2.6	2.7	2.7
General government balance (% of GDP)	-2.5	-2.3	-1.9
Gross public debt (% of GDP)	43.4	44.4	44.8
Current account balance (% of GDP)	4.3	3.3	3.2

Indicator	Q1 2025
Czech Republic Sovereign Rating (last available)	Aa3/AA-/AA-
Exchange rate EUR/CZK (last quarter average)	25.082
ČNB Rate (% , last available)	3.5
ECB Rate (% , last available)	2.25

Source: Eurostat, European Commission, Colliers

Service sector sentiment is correcting back to average, after significant jump in 2024

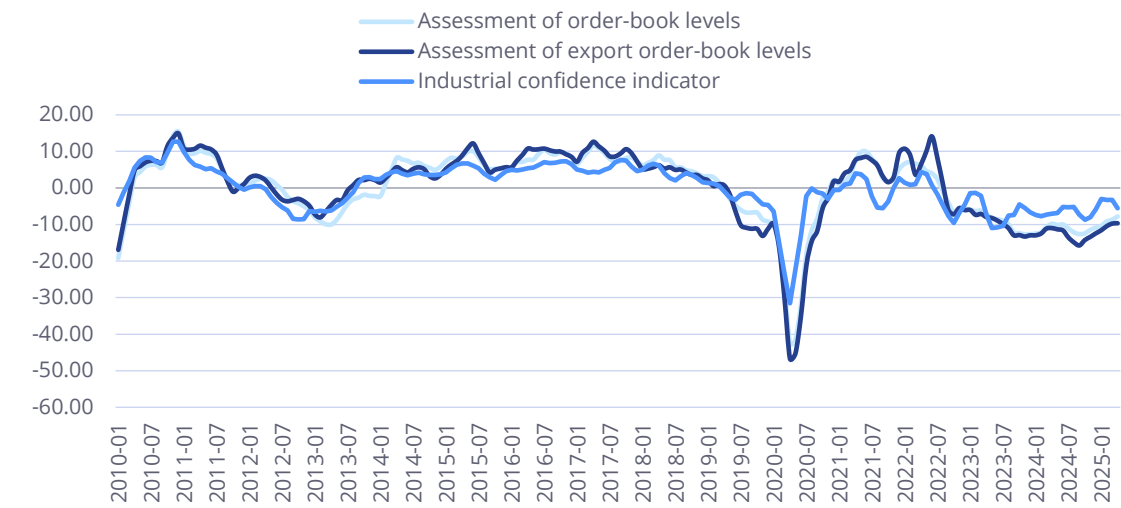
(deviation from historical average)



Source: Eurostat

Mood in the industrial sector stays below long-term average

(deviation from historical average)



Source: Eurostat, Colliers

Contacts

Miroslav Kotek

Head of Industrial Agency
+420 724 723 323
miroslav.kotek@colliers.com

Josef Stanko

Head of Market research
+420 728 175 024
josef.stanko@colliers.com

Johana Typoltová

Head of Sustainability
+420 721 462 549
johana.typoltova@colliers.com

Katarina Brydone

Managing Director
+420 606 744 287
katarina.brydone@colliers.com

Jan Kurfürst

Junior Research Analyst
+420 733 738 294
jan.kurfurst@colliers.com

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